

Practice Quiz: Strategic Modeling — Module 01:

Systems

Name: ____ Date: ____

Part A: Multiple Choice

1. Under Active Inference, the strategic "system" is: A) The organization alone B) The firm-environment coupled system — the organization and its competitive landscape C) The industry D) The market
2. Porter's "threat of new entrants" translates to: A) Hiring challenges B) The strength of the firm's competitive boundary (Markov blanket) C) Immigration policy D) New product development
3. Network effects create competitive advantage because: A) More internet connections B) Each new user increases the value for all existing users, creating a self-reinforcing system C) Networks are inexpensive D) They reduce competition
4. Apple's App Store functions as: A) Just a revenue source B) A boundary management mechanism that regulates what enters and exits the ecosystem C) A simple website D) A marketing tool
5. Markets function as "distributed inference environments" because: A) All firms share information B) Multiple firms simultaneously run their own generative models, and market interaction produces emergent outcomes C) Markets are predictable D) Competition is central planning
6. An industry is a "system" when: A) Firms act independently B) Firms' actions and outcomes are interdependent — each firm's behavior affects others C) The government regulates it D) It has an industry association

7. The competitive ecosystem's Markov blanket determines: A) Physical boundaries B) What information, resources, and agents flow between the firm and its environment C) Legal jurisdiction D) Market capitalization
-

Part B: Short Analysis

1. A streaming video startup enters a market dominated by Netflix, Disney+, and Amazon Prime. Using Porter's Five Forces, analyze the competitive pressures facing the startup. Which forces are most threatening?
2. A platform company (like Uber or Airbnb) creates value primarily through network effects. Using the Active Inference framework, explain why platform businesses tend toward winner-take-most outcomes and what a smaller competitor could do.
3. Your industry is undergoing consolidation — three major competitors are merging into one. Analyze how this changes the competitive ecosystem's structure using the system dynamics concepts from this module.